



**Gokhale Institute
of Politics and
Economics**
(Deemed to be University)

MACROECONOMICS ASSIGNMENT

TOPIC 7- EXPERIENCE OF FLEXIBLE INFLATION TARGETING
IN INDIA – WHETHER TARGETS WERE MET

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INTRODUCTION

Flexible Inflation Targeting (FIT) is a strategy of monetary policy where a central bank has a clear inflation target but presents a certain degree of flexibility to promote other macroeconomic objectives such as growth and employment. Its policy objective is to ensure the stability of prices with the CPI being the measured usually over a certain predetermined range.

India formally adopted flexible inflation targeting in significant benchmarks in the Act of the Reserve Bank of India (Amendment) Act in 2016, which mandates the RBI to maintain CPI inflation at 4% with an accommodative $\pm 2\%$ band. The decision followed a time of unrelenting inflation from 2009 to 2013, when CPI inflation had averaged over 9%. This phase depreciated money power of people impacted savings and battered investor sentiment. To smooth inflation expectations, to improve the credibility of monetary policy, and to 'rebalance the economy between the control of inflation and growth', some form of FIT was introduced.

The concept of inflation targeting was first developed worldwide in 1990 in New Zealand and was applied as a strategy to regain public confidence following several years of double-digit inflation. Other countries quickly followed suit — with a 1-3% range band, Canada (1991) began, the United Kingdom (1992) adopted a 2% target with a $\pm 1\%$ band, and Sweden (1993) had a 2% $\pm 1\%$ target. Those countries turned to FIT as means to resolve issues of fiscal dominance, volatile inflation, and unanchored expectations that had plagued the 1980s and early 1990s.

The success of FIT has been demonstrated by evidence. Take the case of New Zealand, which brought inflation down from more than 15 per cent in the 1980s to less than 2 per cent by the late 1990s. This showed that a transparent and flexible inflation target can be used to achieve long-run macroeconomic stability without compromising on economic growth.

ANALYSIS

TABLE-1

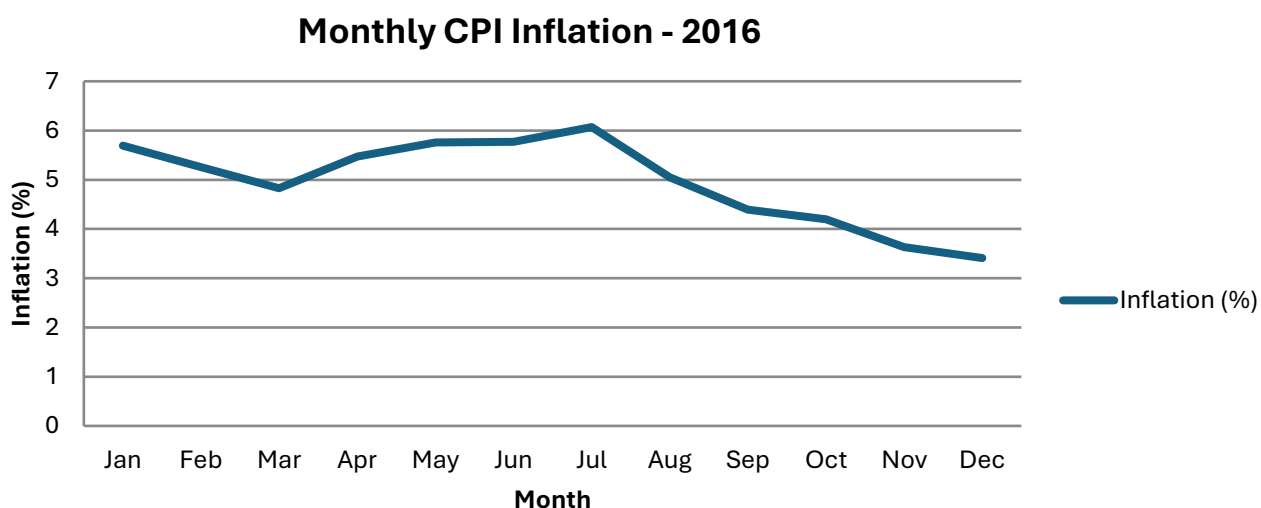
Monthly YoY CPI inflation – (All India, Combined), 2016-2025 (percent)

Year	Jan	Feb	Mar	Apr	May	Jun	July	Aug	Sep	Oct	Nov	Dec
2016	5.69	5.26	4.83	5.47	5.76	5.77	6.07	5.05	4.39	4.20	3.63	3.41
2017	3.17	3.65	3.89	2.99	2.18	1.46	2.36	3.28	3.28	3.58	4.88	5.21
2018	5.07	4.44	4.28	4.58	4.87	4.92	4.17	3.69	3.70	3.38	2.33	2.11
2019	1.97	2.57	2.86	2.99	3.50	3.18	3.15	3.28	3.99	4.62	5.54	7.35
2020	7.59	6.58	5.84	-	-	6.23	6.73	6.69	7.27	7.61	6.93	4.59
2021	4.06	5.03	5.52	4.23	6.30	6.26	5.59	5.30	4.35	4.48	4.91	5.66
2022	6.01	6.07	6.95	7.79	7.04	7.01	6.71	7.00	7.41	6.77	5.88	5.72
2023	6.52	6.44	5.66	4.70	4.31	4.87	7.44	6.83	5.02	4.87	5.55	5.69
2024	5.10	5.09	4.85	4.83	4.80	5.08	3.60	3.65	5.49	6.21	5.48	5.22
2025	4.26	3.61	3.34	3.16*	-	-	-	-	-	-	-	-

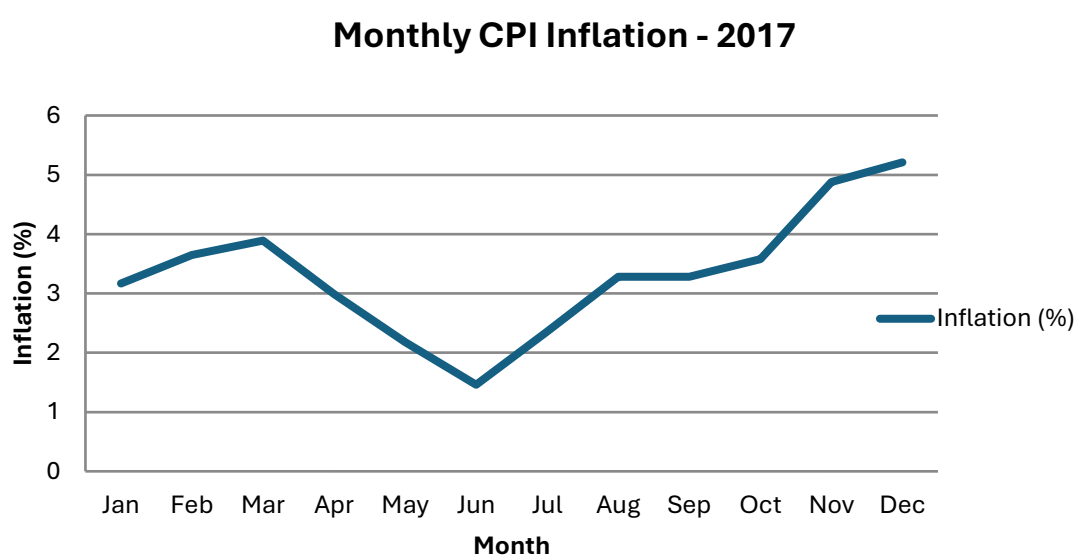
*April 2025 value is provisional (as MoSPI notes).

“ - ” = data not compiled/released for that month (2020 Apr/May gaps due to COVID collection disruptions in MoSPI releases).

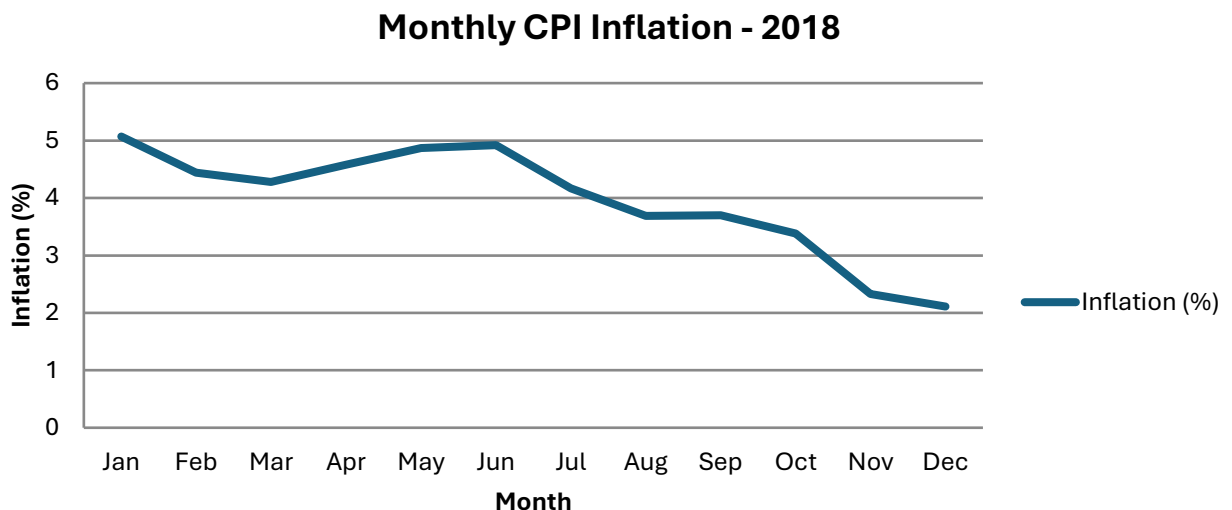
- **Source:** Here official monthly headline inflation (year-on-year % change in all India CPI-COMBINED) is collected from the GoI (MoSPI) time-series tables and put them into a clear table covering 2016à2025.



- Average CPI inflation in 2016 was at 4.96% remaining within the target range of 2–6% and decreasing progressively from 5.7% in January to 3.4% in December.
- Improved monsoon ensured higher farm yields while low international crude oil prices (USD 45–50 per barrel) and a steady rupee restrained inflationary pressures.
- The year saw the launching of Monetary Policy Committee (MPC) under the new FIT regime, with the repo rate at about 6.5%; demonetization during November 2016 cut demand-pull inflation further.



- CPI inflation averaged 3.33% during 2017, which was less than the target of 4% against a backdrop of a year of stable and low-price levels.
- Food price levels were kept in check by good monsoon rains and high agricultural production while international crude oil prices were kept moderate, capping cost-push inflation.
- Economic activity was briefly slowed following demonetization (end 2016) and roll-out of GST (July 2017) that tempered demand and contained inflationary pressure.

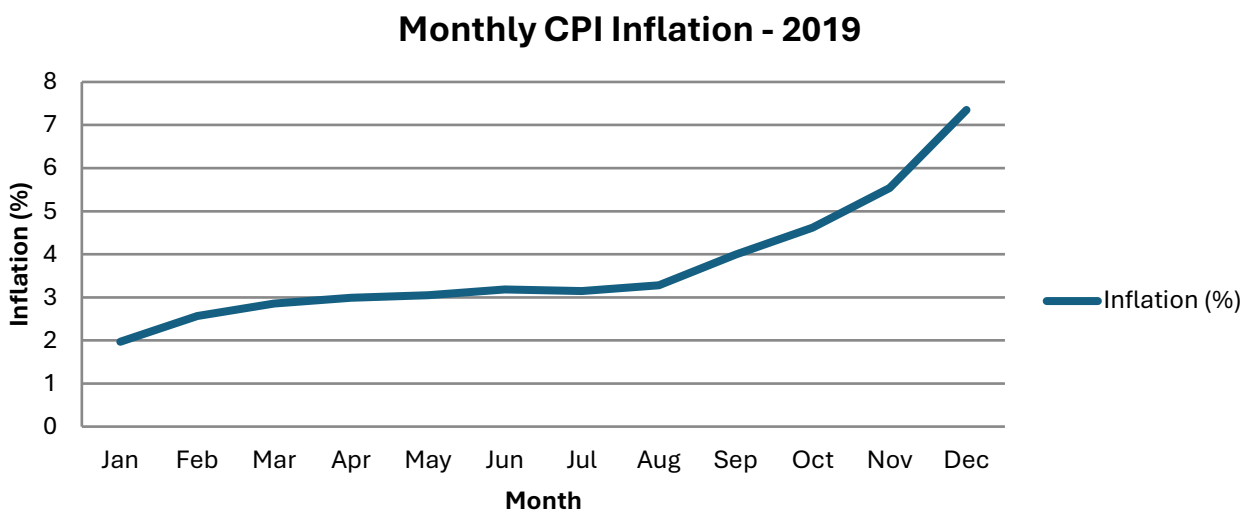


- By this diagram inflation rate is showing the declining trend in January, it was around 5% and in December it falls steadily to 2%, indicating the inflation rate remains below the target due to stable food inflation and fuel oil prices throughout the year.

2018: Inflation Within Target Range

- **Target vs. Actual** Based on the m-y-m (month by month) CPI numbers, the annual average inflation for 2018 is about **3.96%**, which is slightly below the FIT point target of 4% but within the inflation range i.e., 2%-6%.

- Food inflation was stable - there were good monsoon rains and enough food supply in the market, so the price of vegetables and cereal did not rise much, and fuel oil prices in the global market were also moderate, so fuel inflation was not very high.
- Demand for goods did not push prices up because people's spending grew slowly, 2018's CPI outcome reflected favourable supply conditions for food, stable crude/import prices, and contained domestic demand.



- By this diagram inflation rate is showing rising trend in January, it was around 2% and in December it increases sharply to 7%. This indicates that inflation stayed below the target for most of the year but exceeded it by the end of the year.

2019: Inflation Within Target Range

- **Target vs Actual:** Based on the m-b-m CPI numbers, the annual average inflation for 2019 is about **3.75%**, which is below the FIT point target of 4% but within the inflation range i.e, 2%-6%.
- During most of the year, Food inflation remained low. Global prices of crude oil and “fuel oil prices in the global market were also stayed stable, which helped control cost-push inflation.

- There is slow economic growth and consumer demand was weak, prices were low. The RBI'S effective monetary policy also helped keep public confidence high that inflation would stay moderate.

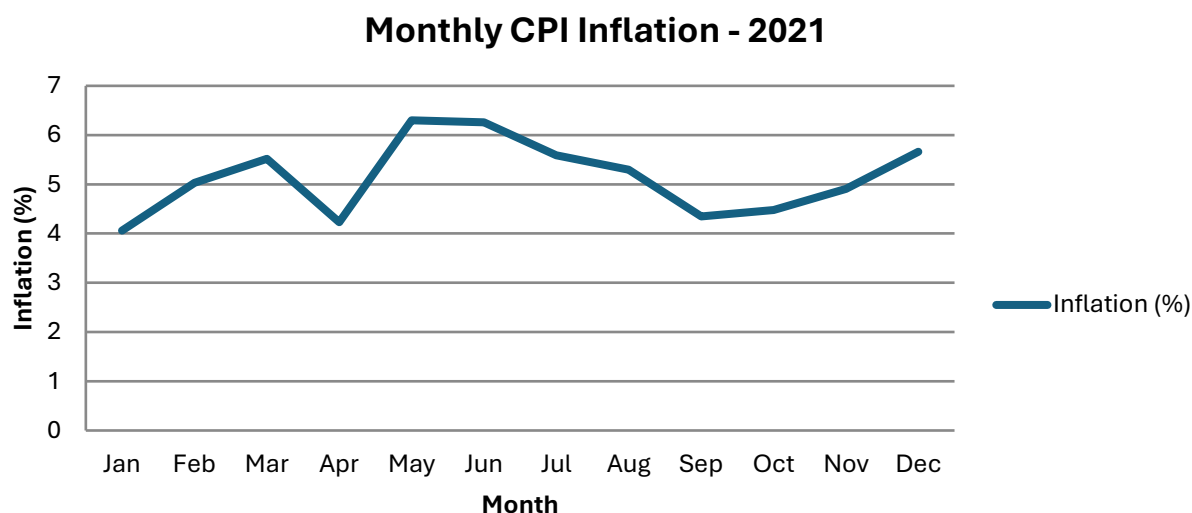


- In 2020, inflation started from above 7%, stayed elevated during the mid-year months, and then declined towards 4–5% by December. The overall average remained above the RBI's upper tolerance limit (6%).

2020: Inflation Peaks due to Pandemic

- Based on the month-by-month CPI numbers, the annual average inflation for 2020 is about **6.6%**, Which is above the RBI inflation range of 2%-6%.
- The main cause of jump in inflation was COVID-19 pandemic due to which supply of food and services interrupted. This year food and essentials prices rose due to closer of the market, high transportation cost and shortage of labours.

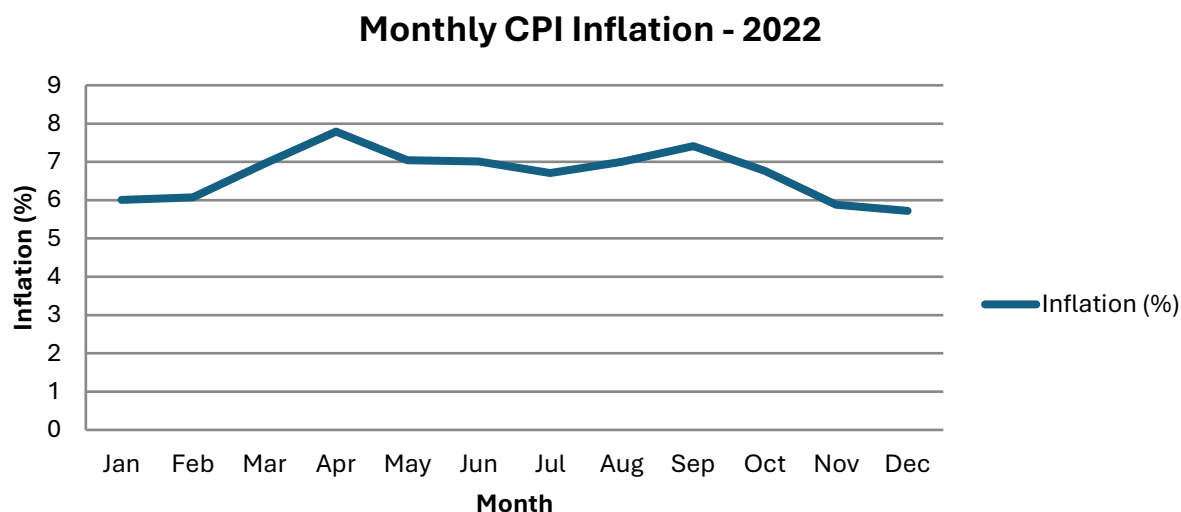
There were also cost increases due to higher storage and transport costs. For two months April and May 2020 official CPI data were not even collected because of lockdown restrictions.



Specific inflation observations above 6% in 2021

May and June

- **Headline CPI inflation:** Stabilized at 6.26% in June, after rising sharply in May 2021.
- **Food inflation:** rose in June on account of higher prices of edible oils, pulses, milk and vegetables. In August it was easing.
- **Fuel inflation:** Surged to double digits in May and June on “eye-popping” increases in the pricing of liquefied petroleum gas (LPG), kerosene and firewood.
- **Core inflation:** Reached a high of 6.3% in May and later declined marginally to 6.26% in June, despite being high along the year.



During January to October 2022, India's inflation, under its FIT framework, consistently breached the 6% upper tolerance level due to –

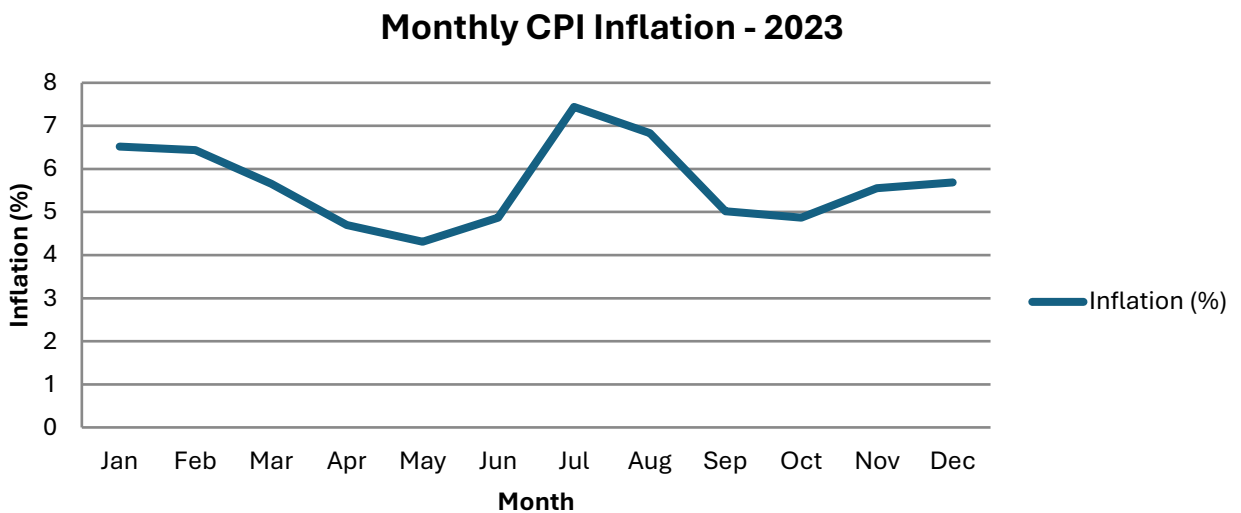
Shocks from outside:-

- **Crude oil prices soaring:** The war and sanctions drove global crude oil prices to over \$139 per barrel, raising India's bills for imported fuel.
- **Rising commodity prices:** The price of oil and many other essential commodities such as crude petroleum, natural gas and metals, soared worldwide.
- **Global supply chain distortions:** Long-stressed global supply chains were further strained by lingering COVID-19 effects and geopolitical war. This led to an increase in shipping rates, production costs for businesses, and inflation on a more general level.

Internal issues:-

- **Edible oils:** In march 2022, inflation in the “oil and fats” segment rose to a 10-year high of 18.79%, since the Ukraine War began, as Ukraine is the world's the largest producer of sunflower.
- **Protein-heavy dishes:** The prices of protein-heavy meals like steak and fish also rose sharply.
- **Cereal and vegetables:** Related to this food inflation was significant contributions from rising cereal and vegetable prices.
- **A range of core inflation indicators:** Core inflation, which excludes the volatile food and fuel prices, also remained elevated, this indicates that the price pressure is widespread in the economy.

- Heatwaves impact crops: Hard weather including heatwaves, which affected crop yields also had an impelling effect on domestic food prices.



Following are a few major contributors to inflation according to the Reserve Bank India's Monetary Policy Reports (April and October 2023).

- **Food Price Shocks (Vegetables, Cereals, Pulses):**

Unseasonal rains and dislocation in supply chains had pushed up prices of staple food items mainly tomatoes, onions and cereals causing food inflation accounting for about 50% of CPI inflation for July-Aug 2023.

- **Adverse Weather Patterns:**

The monsoon was late and scattered monsoon-dependent crops such as rice and pulses were sown. This fall in the food production, put upward pressure on retail food prices.

- **Fuel and LPG Price Revisions:**

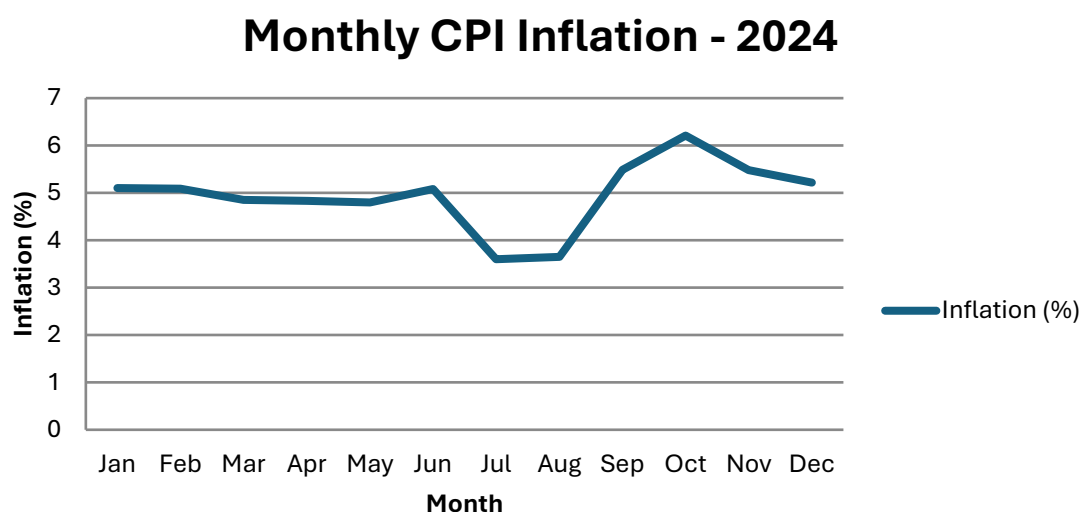
The domestic fuel prices were high in 2023's first months. While prices of international crude oil declined thereafter, the full impact was not translated into the domestic market. High prices for transport fuel and for cooking gas (lpg) also contributed to the inflationary pressures.

- **Permanent Core Inflation (Non-Food, Non-Fuel):**

Core segments such as households, services, and home-produced items saw firm inflation, led largely by rising cost of inputs and the non-pass on impact of soft commodity prices. Core inflation was broadly stable at 5.5%–6% for most of the year.

- **Global and External Factors:**

Exogenous shocks such as the Russia–Ukraine war and supply chain disruption in the world triggered world food and commodity prices. Rupee appreciations vs US dollar which also helped in import-led inflation and put price pressure domestically.



12 Reasons for so much Inflation This Term.

Relating to RBI Monetary Policy Report 2024:

- **Food Price Pressure:**

Costs of vegetables and cereals rose following deficient and patchy kharif season monsoon showers. During September–October, the prices of tomato, onion and pulses increased on the back of low crop production and late arrivals in mandis. Food inflation was prominent source of short-run CPI violation above 6%.

- **Uncertainty in Global Commodity Prices:**

Rising world crude oil prices (due to speculation about Middle East) had pushed up prices of transport and fuel. The price of edible oils and fertilizers in the international market also rose, which contributed to inflation.

- **Effect of the base:**

Higher inflation was recorded in the month in October 2024 on weak base in 2023 which has statistically inflated the year-on-year figure of CPI.

- **Core Inflation Stability:**

Core inflation (food, fuel) remained within 4%–4.5%, implying that demand pressures were contained; much of the surge was supply-driven.



So far in 2025, inflation in India has been comfortably within the Reserve Bank of India target band of 2–6%, hovering at a steady 3.5% to 3.8% in the first two-quarters.

The following have been some major reasons for this deceleration in inflation as per the April 2025 Monetary Policy Report of the RBI:

- **More stable food prices:** Good rains in 2024 led to higher farm output kept vegetable and grain prices under control. The government also intervened by releasing stocks of pulses and onions at the busiest of times to avoid a spike in prices.
- **Prices of fuel and energy fell:** International oil prices fell because of a higher supply and less international tension. The stability in domestic fuel prices also played a role in the total cost of energy being stable.

- **Monetary tightening:** The RBI kept its policy rate, the repo rate, unchanged at 6.5%, and hence signalled its policy stance of maintaining liquidity management and inflation expectations. With interest rates up, demand abated by a small fraction, allowing prices to ease.
- **Core inflation also fell:** Without food and fuel prices, other goods and services became cheaper by about 4%, implying that prices in such categories as housing and services were unchanged. It is also indicative of simpler supply chains and lower production costs.

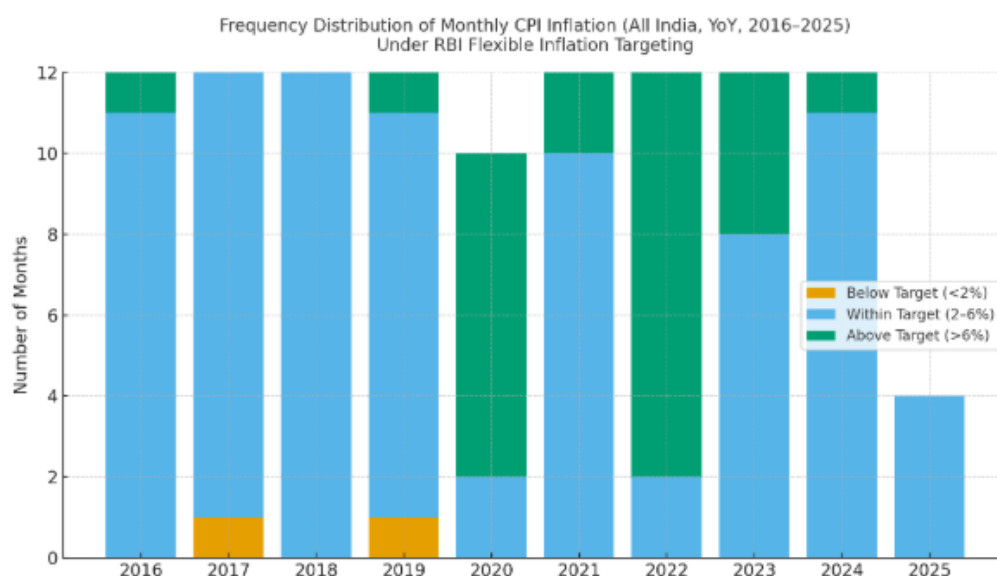
Concise, crop yields up, world oil markets calmer, and cautious monetary policy all keeping 2025 inflation at bay. The Indian economy is much more stable and better balanced than it was a year.

FREQUENCY TABLE

There is the Frequency distribution table of monthly CPI inflation (All-India, YoY, 2016–2025) under the RBI’s Flexible Inflation Targeting :

Year	Months <2%	Months 2-6%	Months >6%	Total Months
2016	0	11	1	12
2017	1	11	0	12
2018	0	12	0	12
2019	1	10	1	12
2020	0	2	8	10
2021	0	10	2	12
2022	0	2	10	12
2023	0	8	4	12
2024	0	11	1	12
2025	0	4	0	4

- **2016–2019:** Inflation mostly stayed within the 2–6% target range, with only occasional spikes.
- **2020–2022:** Clear upward pressure — several months breached 6%, largely due to pandemic supply shocks and food price inflation.
- **2023–2024:** Inflation moderated back within target for most of the months.
- **2025 (till April):** Entirely within the target so far.



The stacked bar chart showing India’s monthly CPI inflation frequency distribution (2016–2025) under the RBI’s Flexible Inflation Targeting (FIT) system.

- The Yellow (**above 6%**) segments spike during **2020–2022**, reflecting pandemic-era inflation.
- The **green (within 2–6%)** dominates most years, showing general adherence to the FIT band.
- The **blue (below 2%)** appears rarely — mainly in **2017 and 2019**.

COMMENT ON RBI’s DISCUSSION PAPER ON THE FIT FRAMEWORK AUGUST 2025

The RBI’s August 2025 discussion paper on the Flexible Inflation Targeting (FIT) framework invites thoughtful analysis and signals India’s commitment to evidence-based, consultative monetary policy. It highlights the achievements of FIT mainly price stability and credibility in global markets, while openly soliciting views on its future design amid new economic risks.

Positive Aspects:

The monetary credibility and institutional integrity take precedence and hence the RBI is cautious in raising the inflation target.

The tolerance band ($\pm 2\%$ around the 4%) has provided space to absorb some supply side shocks and external volatility and has contributed to good macroeconomic performance in India without compromising on growth.

Having a headline CPI target in the retention of the target makes India comparable to global best practice for emerging markets and will enhance the transparency of policy and send strong signals to investors.

Key Debates:

This raises the question of whether the target should be anchored on headline or core inflation, given the contribution of food and fuel in India's consumer price index and their susceptibility to supply shocks.

Experts say that a wholesale shift to a range or increasing the target could also undermine belief in India's policy credibility and cause unnecessary market volatility.

Critiques and Concerns:

A few commentators have expressed concerns about the RBI being too tightly bound by the FIT framework in response to employment and output objectives in the face of external pressures or domestic deceleration.

There is ongoing debate about the proper design of the tolerance band (narrower or wider) given forecast errors and the changing structure of the Indian economy.

Continuous demand-side pressures are to be expected, as the volatility in food prices and geopolitical uncertainty might change the best way to manage inflation in the future.

On the whole, the RBI paper has been welcomed as a good beginning in terms of opening up for transparency and accountability in monetary policy in India, walking the tightrope between continuity, flexibility and public engagement. The August 2025 RBI discussion paper on the Flexible Inflation Targeting (FIT) framework is generally expected to be a farsighted and positive step, reconfirming RBI's commitment to a transparent and participatory monetary policy process in India.

COMPARISON & CHANGE

With the introduction of the Flexible Inflation Targeting (FIT) regime in India in 2016, inflation came down on average and its volatility declined, signifying better price stability than in the pre-FIT era.

Framework before 2016 -

Regime from 2016 “Pre-12” regime of the old RSR was mostly characterized under the term Legacy - one that could be recognised by investigating the theoretical predictions, not empirically from the data. Before Indian authorities adopted FIT, the country’s monetary policy was neither anchored by an explicit inflation target nor guided by a regular operating framework—such as credit planning or targeting broad money supply. Inflation used to be higher and more volatile, with an average rate of around 6.8% and numerous two-digit spells – especially in the presence of supply shocks. Less transparency, money decisions very Governor- centric, and policy at times conflicting with fiscal priorities.

Changes After FIT in 2016 -

Based on the principles of FIT, an official inflation target of 4 per cent based on the CPI with a tolerance level of ± 2 per cent was formalized through the Monetary Policy Committee (MPC). Inflation volatility declined. The mean rate under FIT (2016–2025) was 4.9% as opposed to 6.8% before implementation of the FIT. Expectations were well anchored, and inflation was generally observed to be within the target band except in extraordinary times (pandemics and geopolitical crises). Policy was flexible to allow a short-term departure from the target in the presence of supply-side shocks and growth was prioritized if need be (e. g., Covid-19). The accountability in RBI was enhanced to which RBI had to report breaches of the band for three successive quarters.

CONCLUSION

India's CPI inflation from 2016-2025 showcasing the effectiveness of the FIT framework in managing price stability While adapting economic shocks. Between 2016-2019, inflation was within the range due to stable food inflation and oil prices, showcasing early success of FIT anchoring inflation expectations. From 2020 to 2022, inflation was above 6% because of the COVID-19 pandemic, supply chain disruption and Russia -Ukraine conflict this resulted in

sharp increase in food, fuel and commodity price. By 2025 inflation declined to around 3-3.5% within the RBI FIT range, Reflecting effective monetary movement. Overall, from all the analyses under FIT shows that even though external shocks may cause a temporary rise in inflation, the framework has effectively stabilized inflation expectations, strengthened policy credibility, and maintained macroeconomic stability.